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Sensex has fallen 10% or more in a calendar year. Despite this, in three out of four calendar years, the Sensex has given positive returns.

Importantly, over this extended period, the Sensex has seen one or two falls of more than 30% in each decade. These include crashes caused by the Covid-19 pandemic, global financial crisis, dot-com bubble, and eurozone debt crisis. Going by this data, to make money investors must own

professionally crafted baskets of stocks which need to be monitored and nurtured over a prolonged period.

Many investors do not have the time, skill, or willingness to identify, buy, and monitor their equity investments. Hence, crafting a diversified portfolio of stocks is a challenge for most investors. Such investors hence should look for professional assistance to manage their equity investments. Mutual funds can be one such regulated,

low-cost, and convenient avenue for most investors.

Another benefit mutual funds bring to the table is that investors can take a piecemeal approach to their investments without compromising on the quality of the portfolio they get to invest in. Since stocks are volatile and most investors do not know the relative attractiveness of the stocks, they are better off investing in a staggered manner using systematic investment plans (SIP).

SIP helps investors buy more units in a falling market and as the economy and financial markets bounce back, investors see positive returns. Many of the best days to invest occur during a crisis. Investors must hold on to their investments in such testing times and let the situation improve and see their investments deliver for them.

Many investors wonder if a simple tool such as SIP can create wealth for them. Some numbers can offer clarity. To accumulate ₹10 crore at the age of 60 years one has to invest ₹15,000 per month, at the rate of return on investment of 12%, if she starts at the age of 25. But if she starts at 30 and 40 years of age, then the SIP amount needs to be hiked to ₹28,000 and ₹1,00,000.

To sum up, equities can compound money and build large wealth pools. For most investors, SIP in a diversified equity fund can be a ticket to wealth creation. So, start investing now and keep increasing your contribution to the SIP to achieve all financial goals such as a long foreign vacation, a child's education, as well as retirement. **BT**

Views are personal